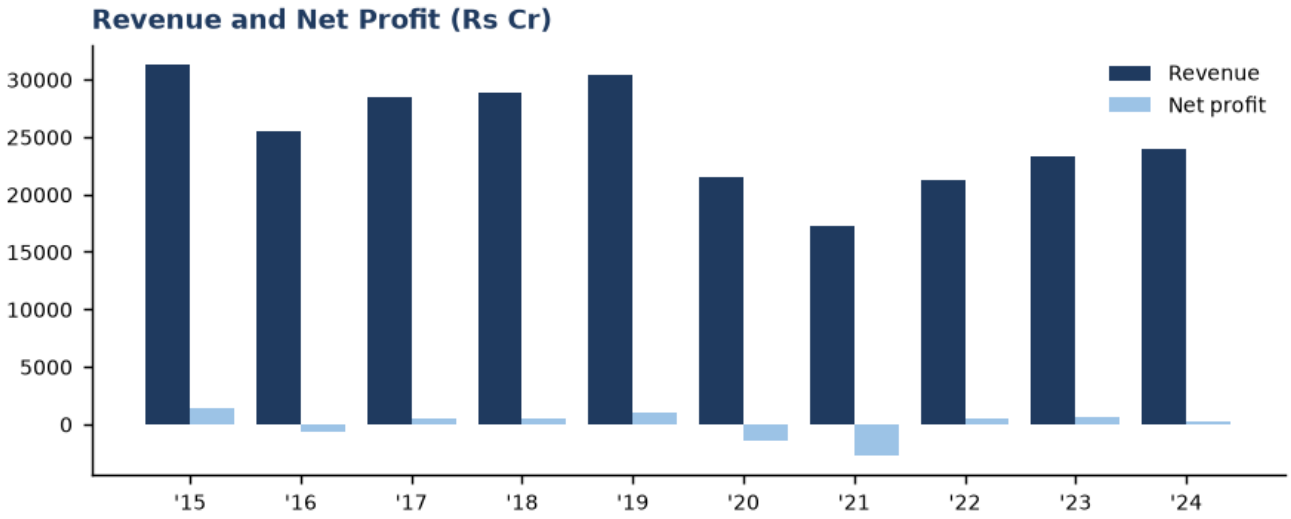
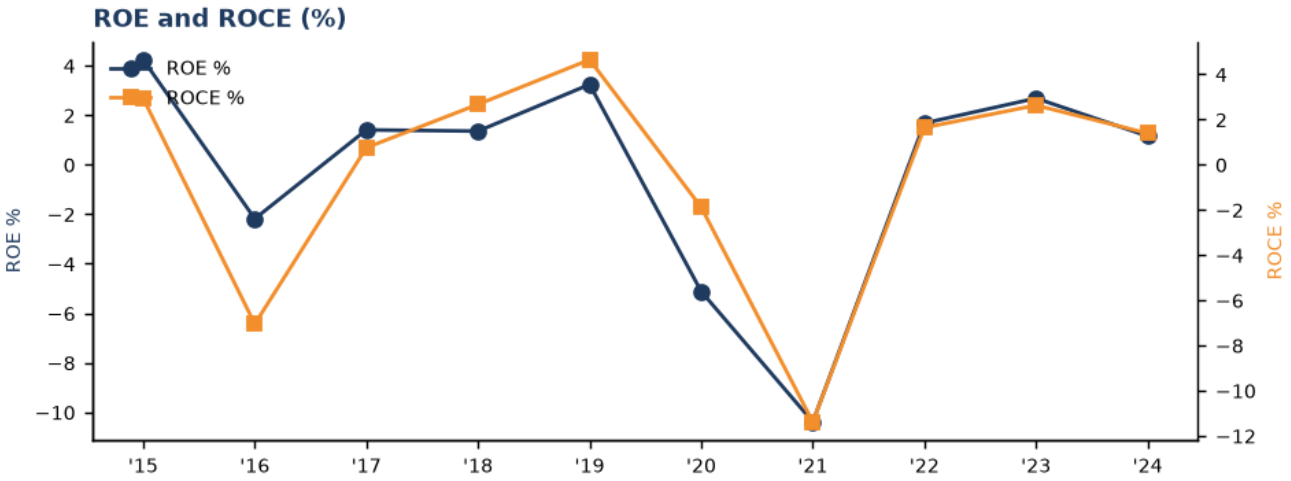
Bharat Heavy Electricals Limited

BHEL | Industrials | Capital Goods | Latest financial year: 2024-03

ROE	ROCE	Net profit margin
1.2%	1.4%	1.2%

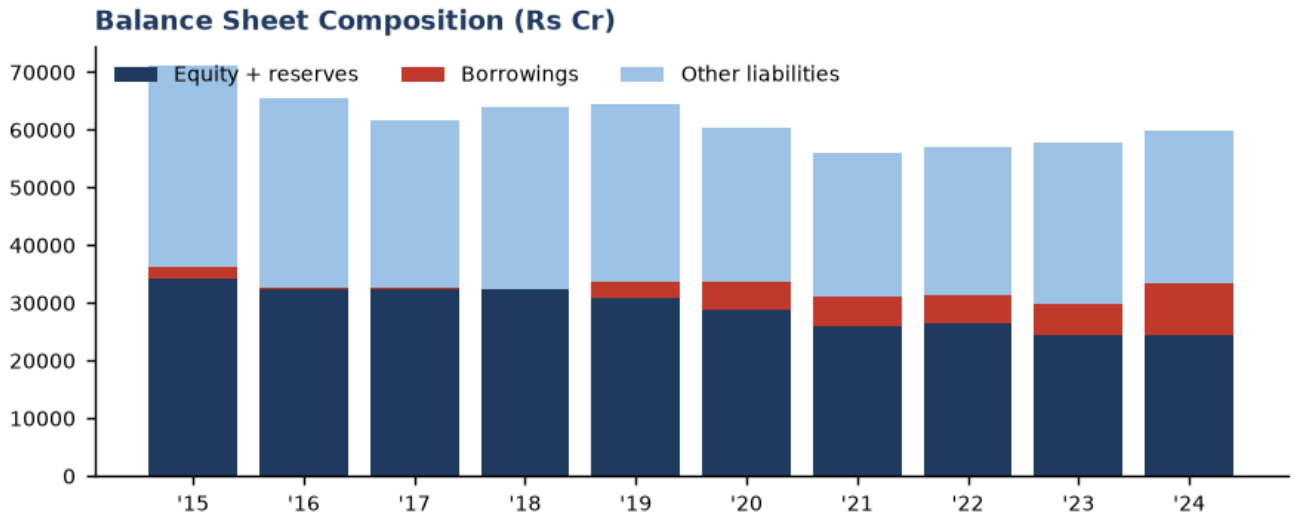
Debt / equity	Revenue CAGR 5yr	Free cash flow (Rs Cr)
0.36	-4.7%	-2,382

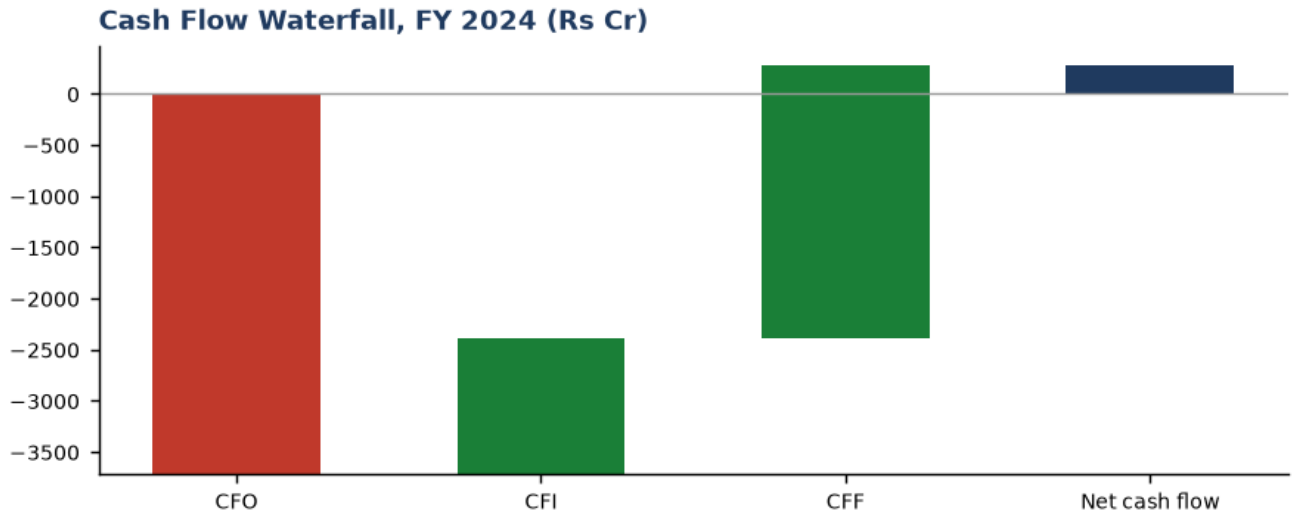




Bharat Heavy Electricals Limited

BHEL | Balance sheet, cash flow and qualitative view





Key strengths and concerns (auto-generated, with confidence)

Pros

- Debt-to-equity of 0.4x ranks better than 56% of sector peers (56%)

Cons

- Net debt exceeding 3 times EBITDA is a high leverage ratio and limits financial flexibility (100%)
- Revenue growing at below 5% over 5 years lags inflation and suggests limited business momentum (100%)
- Return on capital employed below 10% suggests the business is not generating sufficient returns on invested capital (94%)

Capital allocation: Distress Signal

Pros and cons are generated from KPI threshold rules and are not investment advice. Ratios use annual filings; market data is simulated.